

The Appreciation of the Albanian Lek (2015–2026)

**An Evidence-Based Analysis Using Data from the Bank of Albania, Instat, the IMF and
the World Bank**

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Executive Summary

The Albanian Lek has appreciated to its strongest level against the euro in more than a decade. While exchange-rate appreciation is often associated with stronger macroeconomic fundamentals, its broader implications for the Albanian economy remain insufficiently understood.

This report investigates whether the appreciation of the Lek represents a temporary market phenomenon or reflects a structural transformation of Albania's economy. Using official data from the Bank of Albania, INSTAT, the IMF and the World Bank, the analysis examines the interaction between exchange rates, tourism, remittances, foreign direct investment, household consumption, inflation, trade competitiveness, liquidity and the residential property market.

The evidence suggests that the appreciation of the Lek is primarily explained by persistent foreign currency inflows generated by record tourism revenues, increasing remittances and rising foreign direct investment rather than speculative financial flows. These developments have strengthened purchasing power, reduced imported inflation and supported strong GDP growth. At the same time, they have weakened export competitiveness, contributed to rapidly rising residential property prices and increased dependence on tourism and construction.

This report intentionally preserves the original units of measurement used by the Bank of Albania, INSTAT, the IMF, the World Bank and other referenced institutions. Maintaining the source-specific presentation of data ensures transparency, avoids potential distortions arising from unit conversions, and allows readers to verify each statistic directly against its original publication.

Although official macroeconomic indicators remain robust, qualitative evidence suggests that many households and businesses perceive weaker economic conditions than aggregate statistics imply. This divergence may reflect growing wealth concentration, rising housing costs, cash-flow constraints within the business sector and the continuing importance of the informal economy. This paper aims to answer the following question: **To what extent has the appreciation of the Albanian Lek been driven by structural economic factors and what have been the macroeconomic consequences?**

Executive Highlights

Gross Domestic Product(GDP)

The production approach calculates GDP by summing the gross value added of all domestic economic sectors, representing the total value of their outputs minus the cost of intermediate inputs used in production. Chart 1 illustrates this structural breakdown, displaying each sector's share of total GDP in 2025 alongside its real growth rate relative to 2024.

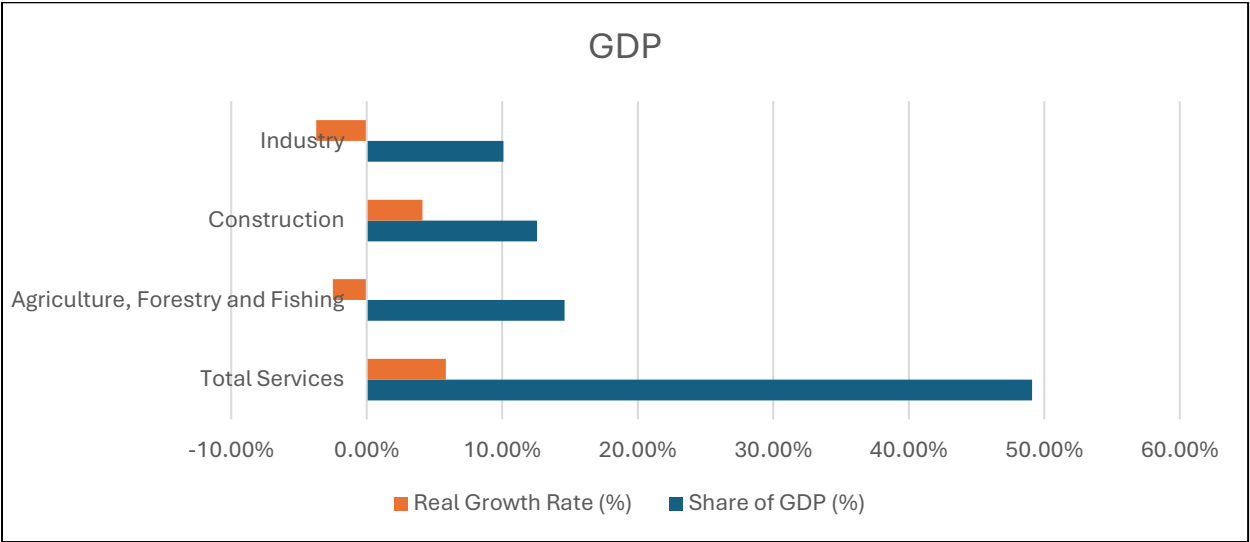


Chart 1: GDP Composition and Real Growth Rates by Economic Activity (2025) (Instat)

The expenditure approach measures GDP by aggregating total domestic spending across consumption, investment, government outlays, and net exports. Under this framework, the economy is primarily driven by total consumption, which commands a massive 82.20% share of GDP, while gross fixed capital formation and international trade balance out the remaining economic components.

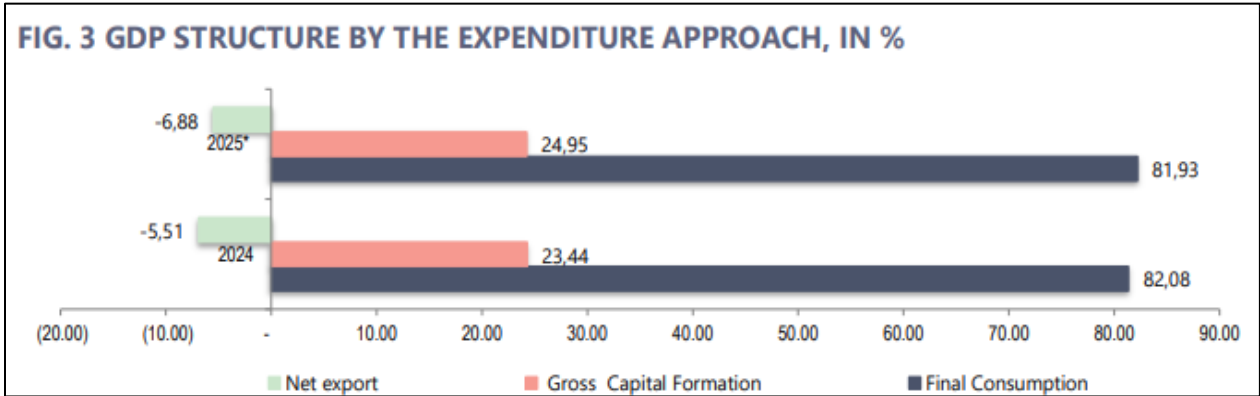


Chart 2: GDP Structure by the Expenditure Approach (Instat)

Between 2015 and 2026, Albania exhibits a powerful and positive long-term economic expansion, with nominal GDP nearly tripling from \$11.39 billion to a projected \$33.33 billion. In the subsequent years leading up to 2026, the macroeconomic trend stabilizes into a highly favorable phase of steady, resilient growth, maintaining real GDP gains consistently above 3% and reliable double-digit nominal growth annually. (IMF)

Year	GDP in Billion USD	Nominal GDP YoY growth	Real GDP Growth
2015	11.39	-14.0%	2.2%
2016	11.86	4.1%	3.9%
2017	15.05	26.9%	3.3%
2018	15.15	0.7%	3.7%
2019	15.28	0.9%	2.1%
2020	15.27	-0.1%	-3.3%
2021	17.98	17.7%	9%
2022	19.19	6.7%	4.8%
2023	23.63	23.1%	4%
2024	27.05	14.5%	4%
2025 (IMF Forecast)	30.28	11.9%	3.7%
2026 (IMF Forecast)	33.33	10.1%	3.4%

Table 1: GDP anaysis of Albania (IMF)

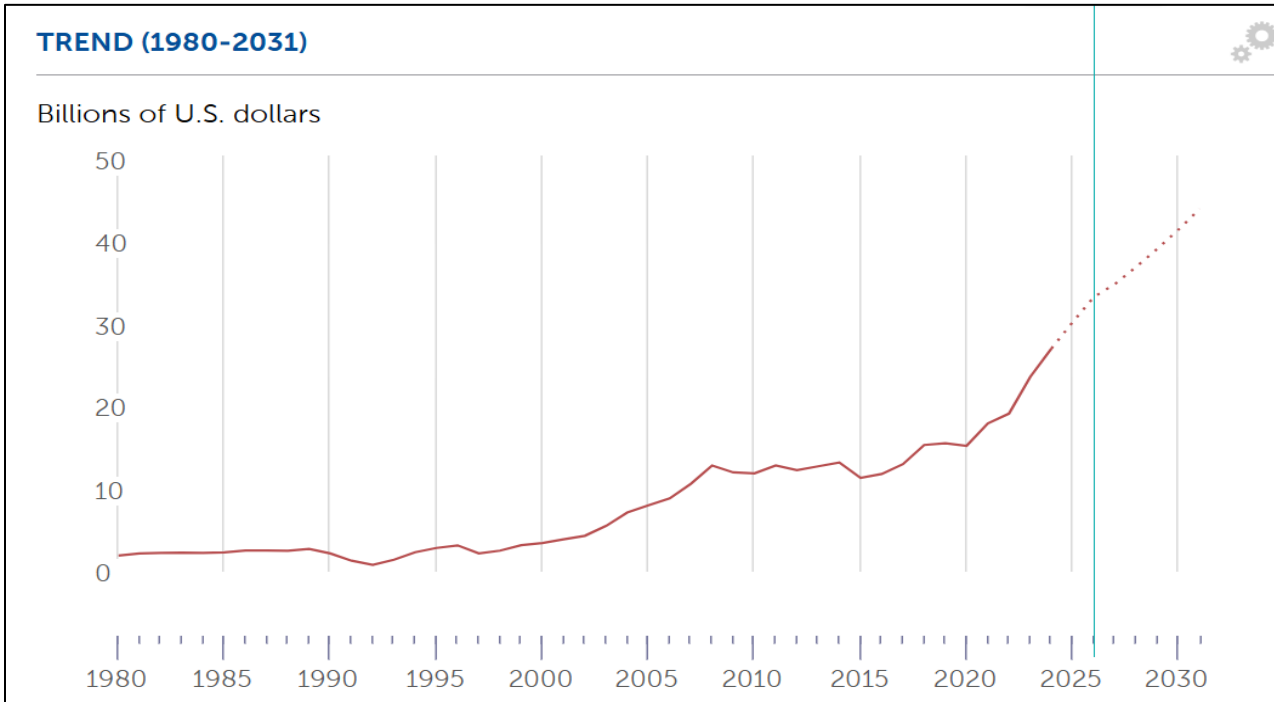


Chart 3: GDP of Albania (IMF)

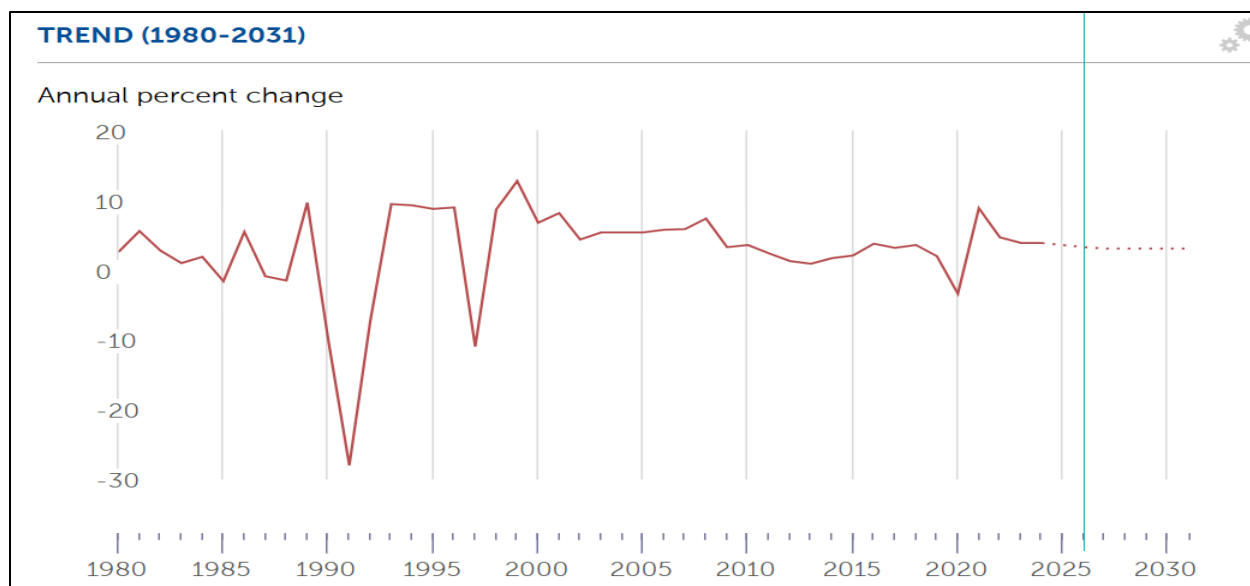


Chart 4: Real GDP growth of Albania (IMF)

Inflation & Exchange Rate (Lek Appreciation)

Inflation in Albania increased sharply following the COVID-19 pandemic and the global energy and commodity price shock, peaking in 2022 before gradually moderating toward the Bank of Albania's 3% inflation target. One of the key factors supporting this disinflation has been the significant appreciation of the Albanian Lek against the euro, which reduced the domestic cost of imported goods such as fuel, food, machinery and raw materials, thereby lowering imported inflation. As a small and highly import-dependent economy, Albania benefits considerably from a stronger domestic currency, as exchange rate movements are transmitted relatively quickly to consumer prices. The appreciation of the Lek has therefore complemented the Bank of Albania's monetary policy, reducing the need for more aggressive interest rate increases and helping anchor inflation expectations. While the stronger currency has created challenges for export competitiveness, it has simultaneously strengthened the central bank's ability to maintain price stability, illustrating the important role of the exchange rate as an additional transmission channel of monetary policy in an open economy. (Bank of Albania)

The IMF has estimated exchange-rate pass-through to inflation. In its 2023 Article IV consultation, the IMF estimates that a 1% appreciation of the Lek reduces inflation by roughly 0.09 percentage points during appreciation episodes, although the pass-through is relatively small compared with depreciation episodes.

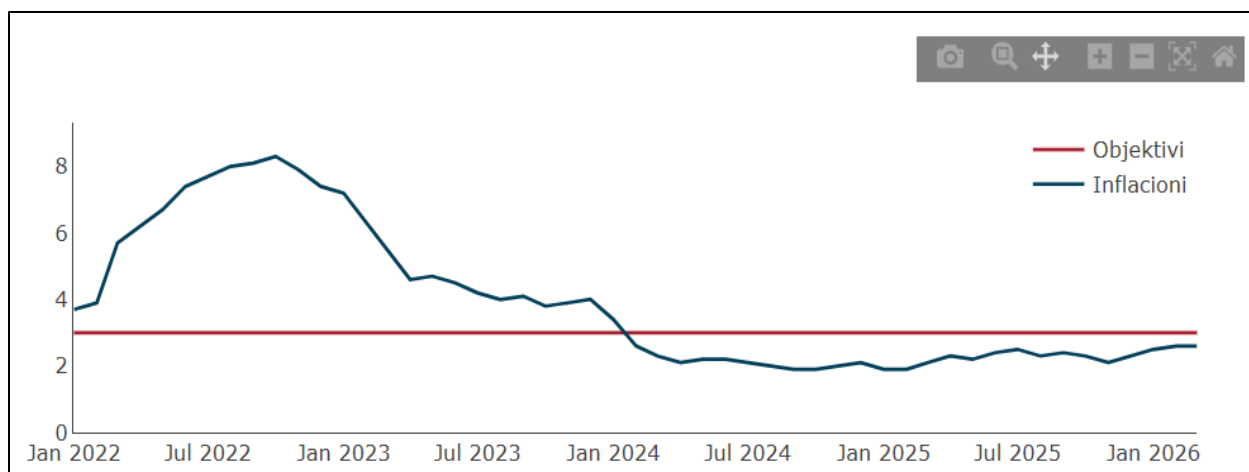


Chart 5: Domestic Inflation in Albania(Bank of Albania)

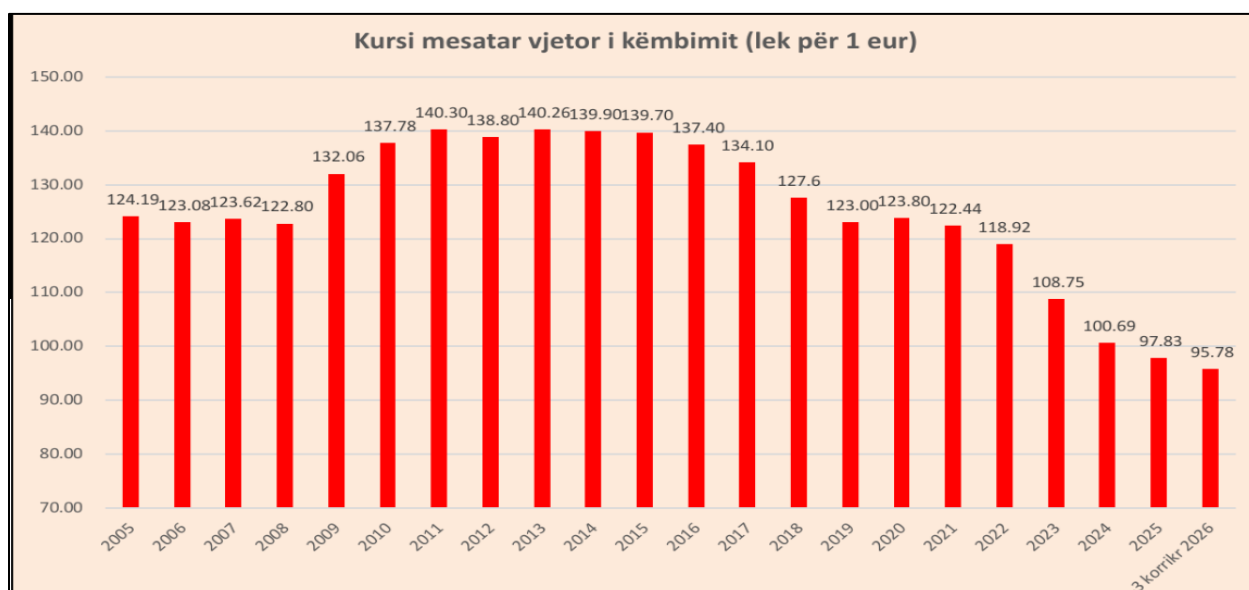


Chart 6: Average Annual Exchange Rate (ALL per 1 EUR), 2005–2026(Revista Monitor)

Tourism

Tourism has become one of the principal drivers of Albania's economic transformation over the past decade, evolving from a relatively modest sector into a key contributor to economic growth, employment, exports, and foreign currency inflows. According to the World Bank, tourism now represents one of the country's most important economic sectors, supporting GDP growth through increased household consumption, private investment, and strong linkages with industries such as construction, transport, retail, and real estate. The rapid expansion of international tourism has also generated substantial euro inflows, contributing to the appreciation of the Albanian Lek and reinforcing macroeconomic stability by supporting the current account and reducing imported inflation.

According to recent World Travel and Tourism Council (WTTC) metrics for 2025, tourism's weight in the economy reached an estimated 26.4% of the GDP, equating to roughly \$7.3 billion USD. Tourism generated over 274,000 jobs in 2025, representing roughly 21% of total employment in the country. More than 1 in 5 jobs are directly or indirectly linked to the sector.(WTTC)

Year	Foreign Visitors	Key Changes / Main Characteristics
2015	4,131,242	Initial regional market recognition.
2016	4,735,511	Organic coastal growth (+14.6%).
2017	5,116,514	Surpassed 5 million visitors for the first time
2018	5,926,803	Expanded charter lines and increased Central European arrivals.
2019	6,406,038	Pre-pandemic peak and historic record.
2020	2,657,818	Drastic drop (-58.5%) due to COVID-19 lockdowns.
2021	5,688,528	Rapid post-pandemic recovery driven by the region.
2022	7,543,817	Surpassed 2019 levels; start of media boom.
2023	10,155,112	Exceeded historic milestone of 10 million visitors.
2024	11,696,000	Consolidated growth and year-round season expansion.
2025	12,466,038	New absolute historic record by INSTAT (+6.6% vs 2024).

Table 2: Foreign Vistors(Instat)

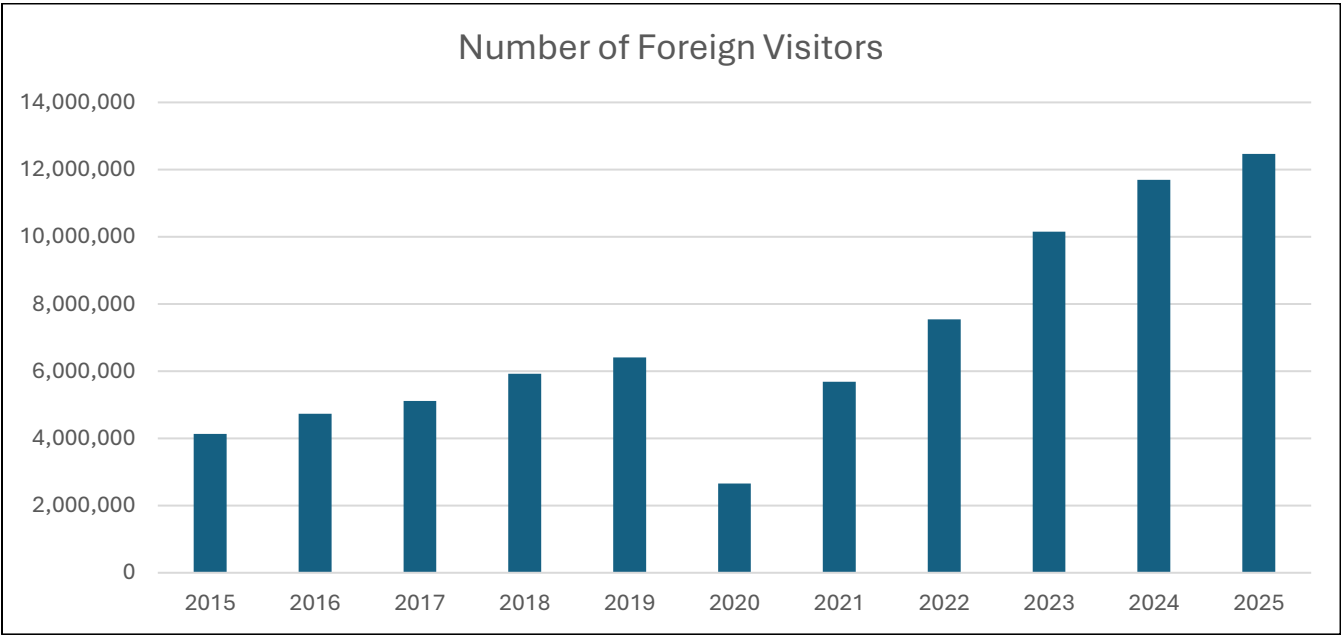


Chart 7: Number of Foreign Visitors(Instat)

Tourism Development Scenarios (2026–2030)

The chapter analyzes three potential pathways for tourism growth(ALTAX)

Baseline Scenario: Moderate growth reaching 13–15 million overnight stays and €8–9.5 billion in revenue by 2030.

Optimistic Scenario: Deep reforms and high-quality tourism yielding 18–22 million overnight stays, €12–15 billion in revenue, and a 30–34% GDP contribution.

Pessimistic Scenario: High informality and infrastructure strain limit growth and reduce sector competitiveness.

Remittances

Remittances have long been one of the most important sources of external financing for the Albanian economy, providing a stable flow of foreign currency from Albanians living abroad and supporting household consumption, savings, and residential investment. In recent years, remittance inflows have reached record levels, accounting for approximately 8–9% of GDP, and have become an increasingly important contributor to Albania’s external balance alongside tourism and foreign direct investment. (World Bank)

Year	Approx. Remittances in Billion EUR	Remittances as % of GDP
2015	1.29	11.3%
2016	1.31	10.9%
2017	1.31	9.9%
2018	1.46	9.5%
2019	1.47	9.5%
2020	1.47	9.6%
2021	1.72	9.5%
2022	1.75	9.2%
2023	2.04	8.7%
2024	2.27	8.4%

Table 3: Remittances in Albania (World Bank)

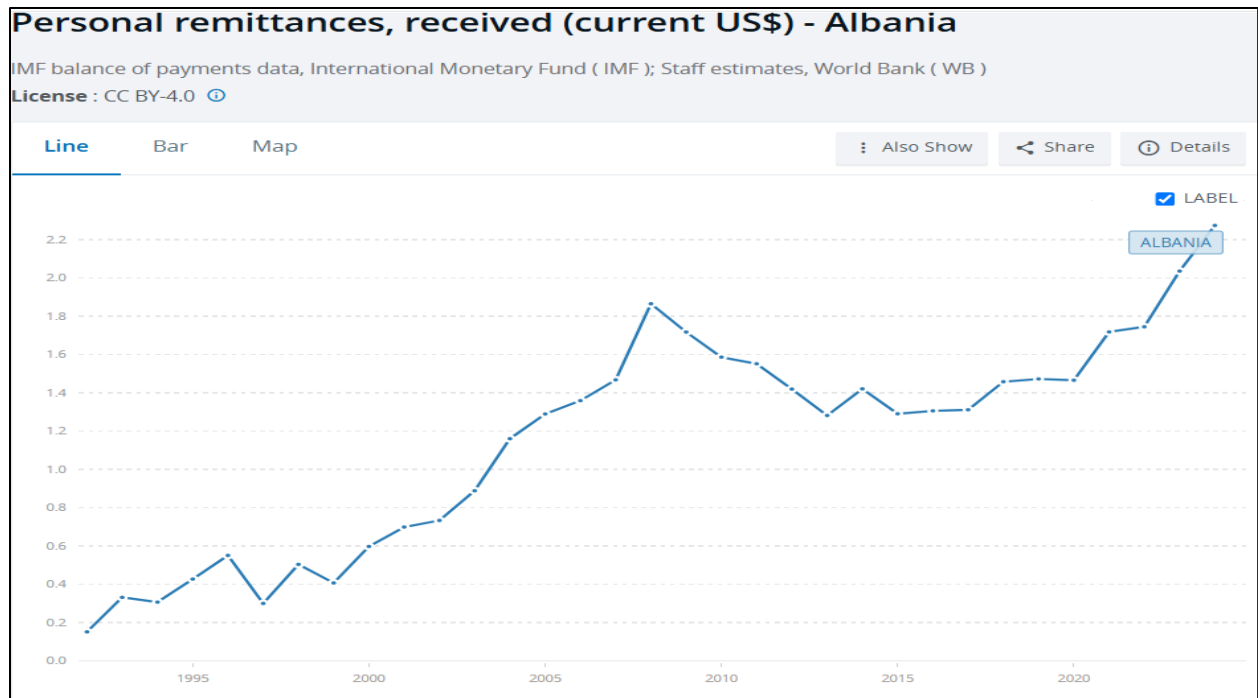


Chart 8: Approximate Remittances in Billion USD (World Bank)

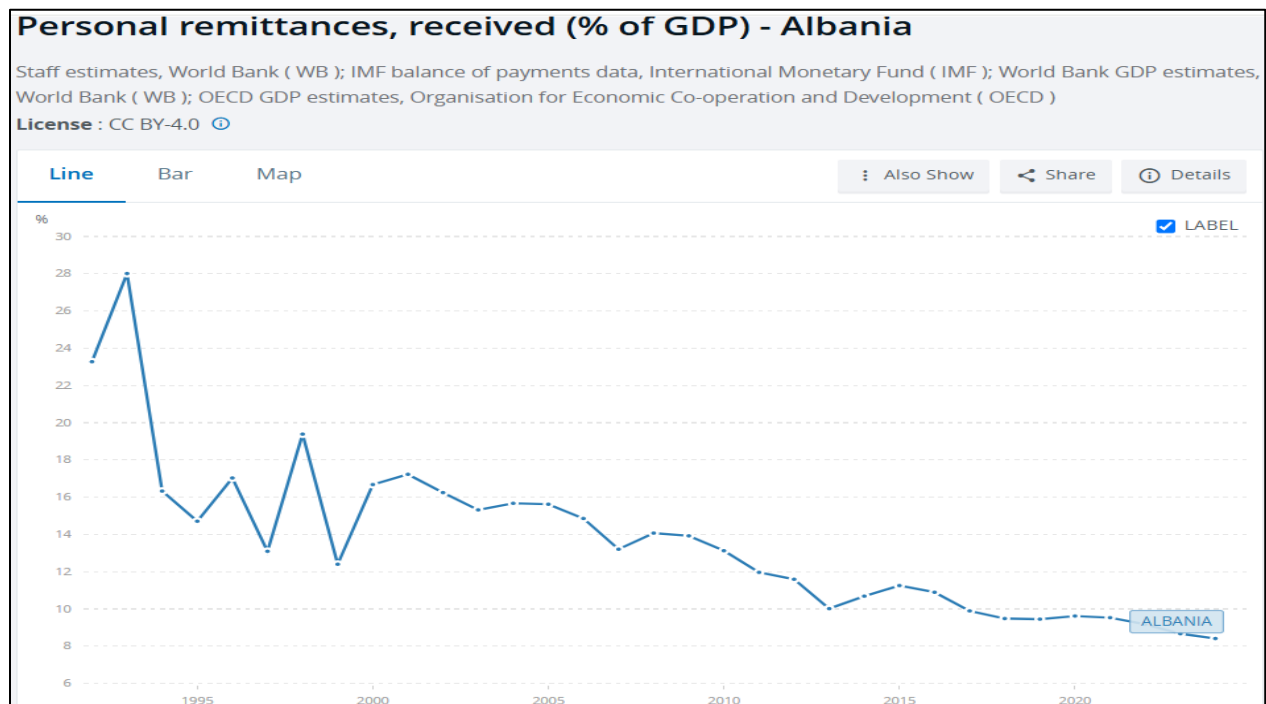


Chart 9: Remittances received as % of GDP (World Bank)

Foreign Direct Investment

Foreign direct investment has become one of the principal drivers of Albania's economic development and an increasingly important source of foreign currency inflows over the past

decade. According to the Bank of Albania, the IMF and the World Bank, FDI has remained at historically elevated levels, supported by investments in energy, real estate, tourism, financial services and infrastructure. Beyond providing capital for productive investment, FDI generates sustained inflows of foreign currency primarily euros, which increase the supply of foreign exchange within the domestic market. As these inflows are converted into Albanian Lek to finance wages, construction, operating expenses and local purchases, they contribute to upward pressure on the domestic currency. Together with record tourism revenues and remittances, rising FDI has therefore been one of the fundamental factors underpinning the appreciation of the Lek in recent years. At the same time, stronger FDI has supported economic growth, employment and fiscal revenues, reinforcing investor confidence and improving Albania's macroeconomic stability. However, the concentration of recent FDI in sectors such as tourism and real estate also highlights the importance of attracting greater investment into higher-productivity industries, including manufacturing, technology and export-oriented activities, to ensure that future economic growth and exchange-rate appreciation remain sustainable and broadly based.

Year	FDI (Billion USD)
2015	0.99
2016	1.04
2017	1.02
2018	1.2
2019	1.2
2020	1.07
2021	1.22
2022	1.44
2023	1.62
2024	1.71
2025	1.87

Table 4: Foreign Direct Investment (World Bank, Bank of Albania)

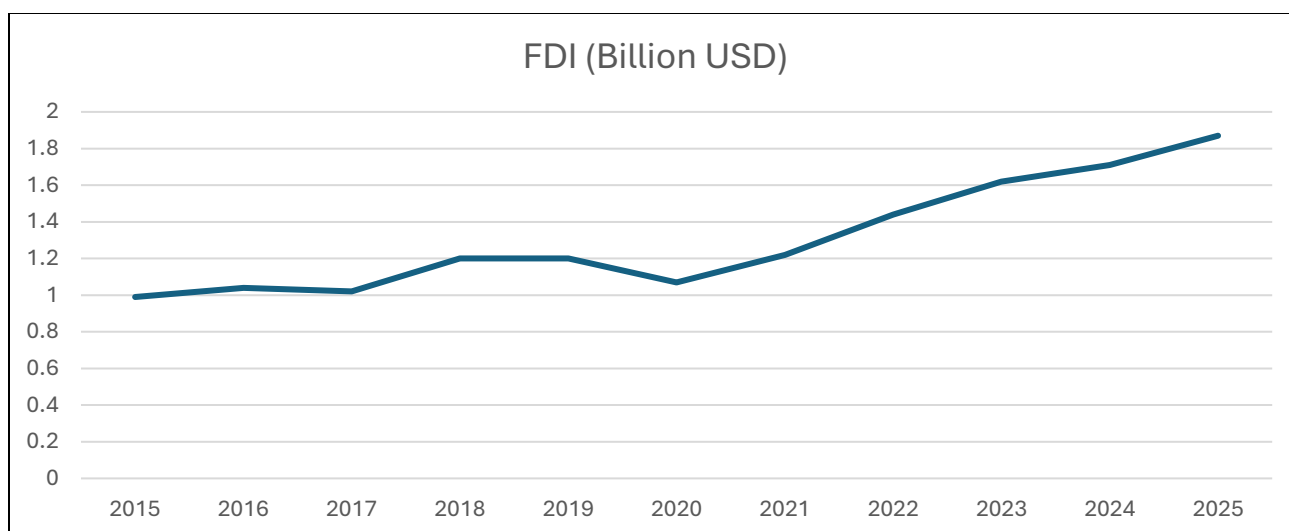


Chart 10: Foreign Direct Investment (World Bank)

Trade

Trade is one of the most important pillars of Albania's economy over the last decade. Although the country continues to run a structural trade deficit, the composition of trade has changed considerably, with tourism and service exports increasingly offsetting the persistent deficit in merchandise trade. The data from INSTAT, the World Bank, IMF and Bank of Albania suggest that Albania has become a more open economy, while simultaneously becoming more dependent on foreign demand, tourism and imported goods.

Year	Exports(B Lek)	Imports(B Lek)	Trade balance (B Lek)	Coverage ¹ (%)
2014	256	552	-296	46.3
2015	243	545	-302	44.7
2016	243	579	-336	42
2017	273	626	-353	43.6
2018	310	641	-331	48.4
2019	299	649	-350	46
2020	272	605	-333	44.9
2021	367	784	-423	46
2022	481	950	-464	51.2
2023	430	873	-432	50.5
2024	369	894	-526	41.2
2023	430	873	-432	50.5
2024	369	894	-526	41.2
2025	346	887	-541	39

Table 5: Annual External Trade Balance and Export-to-Import Coverage Ratios (Instat)

¹ Coverage measures the percentage of a country's import expenses that are paid for by its export revenues.

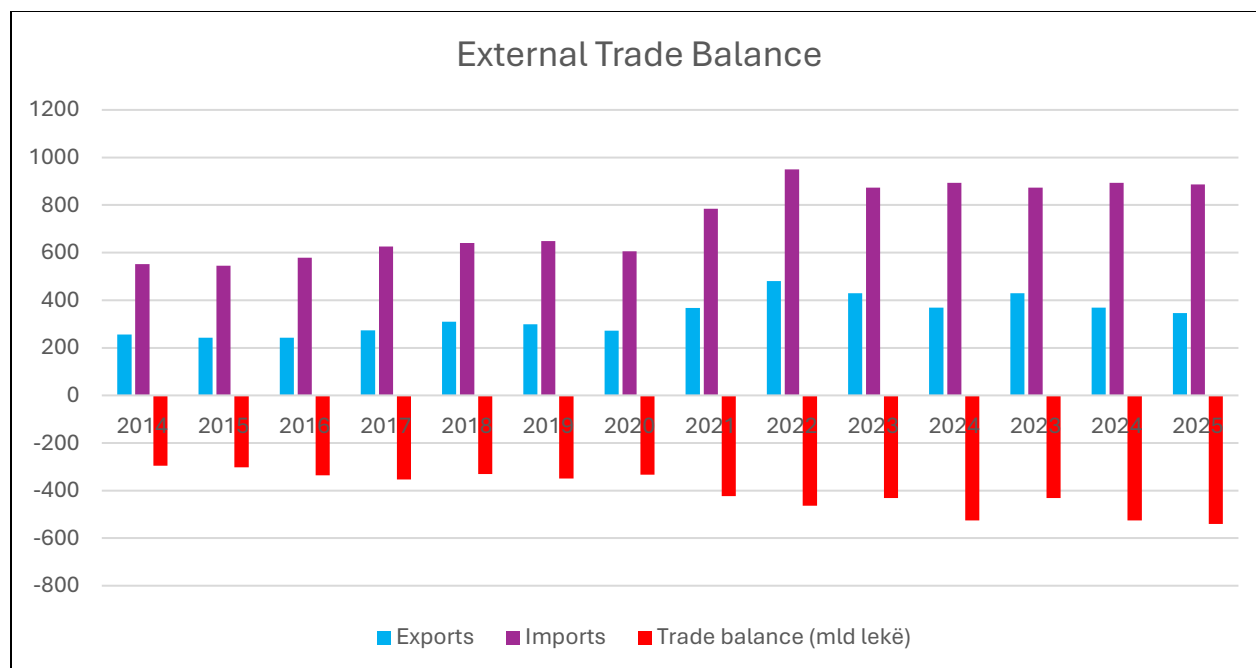


Chart 11: Annual External Trade Balance (Instat)

Exports have grown faster than GDP, although the country remains a net importer despite tourism growth. While goods exports peaked in 2022 and declined during 2023–2024 due to the appreciation of the Lek, imports remained resilient, driven by high domestic demand. (ALTAX)

The appreciation of the Lek has created asymmetric macroeconomic effects, lowering import costs, mitigating imported inflation, and boosting domestic purchasing power. Conversely, it severely eroded the international price competitiveness of local exporters, reduced Lek-denominated revenue for Euro-earning firms, and strained labor-intensive sectors like textiles. While the post-2022 merchandise export decline coincided directly with this currency strengthening, weaker European demand and normalizing energy prices indicate the Lek acted as an additional competitive pressure rather than the sole driver of the contraction. (ALTAX)

Trade with the EU countries 2025, is 57.0 % of total trade. In this period, the share of exports to EU countries was 72.5 % of total exports, and the share of imports from EU countries was 51.0 % of total imports. (Instat)

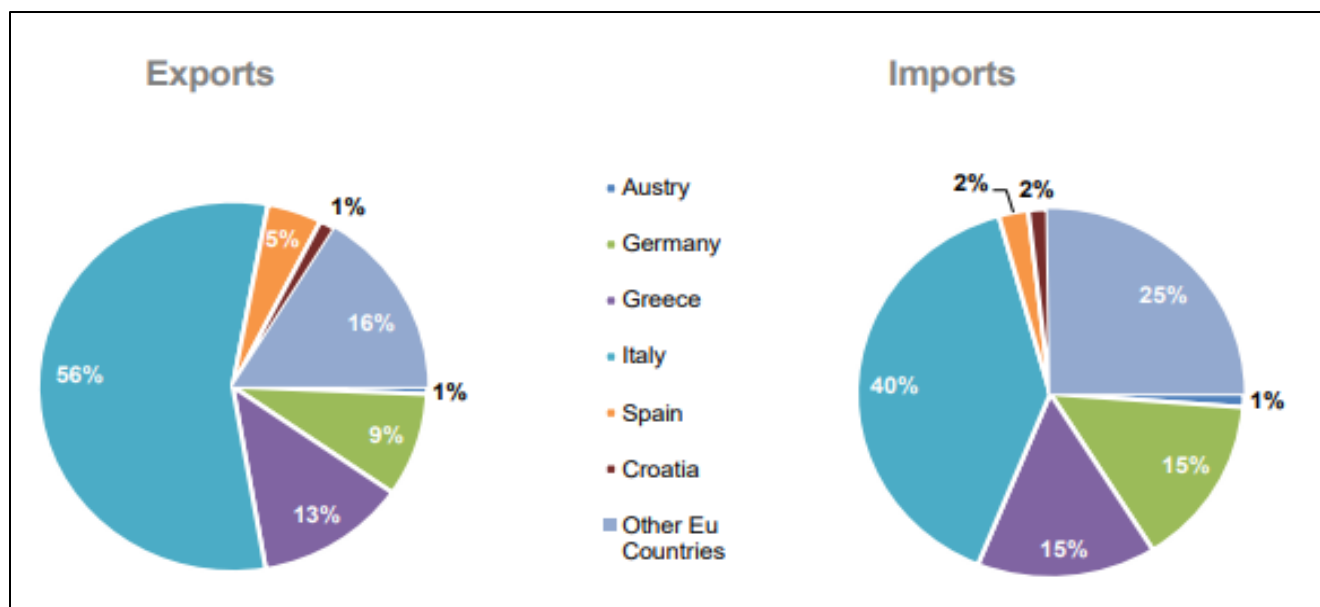


Chart 12: EU Trade statistics (Instat)

Category of Goods	Exports 2025 (million ALL)	Percentage of Total Exports
Food, beverages, tobacco	55922	16%
Minerals, fuels, electricity	62859	18%
Chemical and plastic products	12993	4%
Leather and leather manuf.	1854	1%
Wood manufct. and art. of paper	9835	3%
Textile and footwear	103908	30%
Construct. materials and metals	48569	14%
Machinery, equipm. spare parts	39668	11%
Others	10540	3%
Total	346149	100%

Table 6: Structure of Albanian Merchandise Exports by Category (Instat)

Category of Goods	Imports 2025(million ALL)	Percentage of Total Imports
Food, beverages, tobacco	162210	18%
Minerals, fuels, electricity	99697	11%
Chemical and plastic products	117539	13%
Leather and leather manuf.	11116	1%
Wood manufct. and art. of paper	29542	3%
Textile and footwear	86034	10%
Construct. materials and metals	112998	13%
Machinery, equipm. spare parts	227897	26%
Others	40253	5%
Total	887285	100%

Table 7: Structure of Albanian Merchandise Imports by Category (Instat)

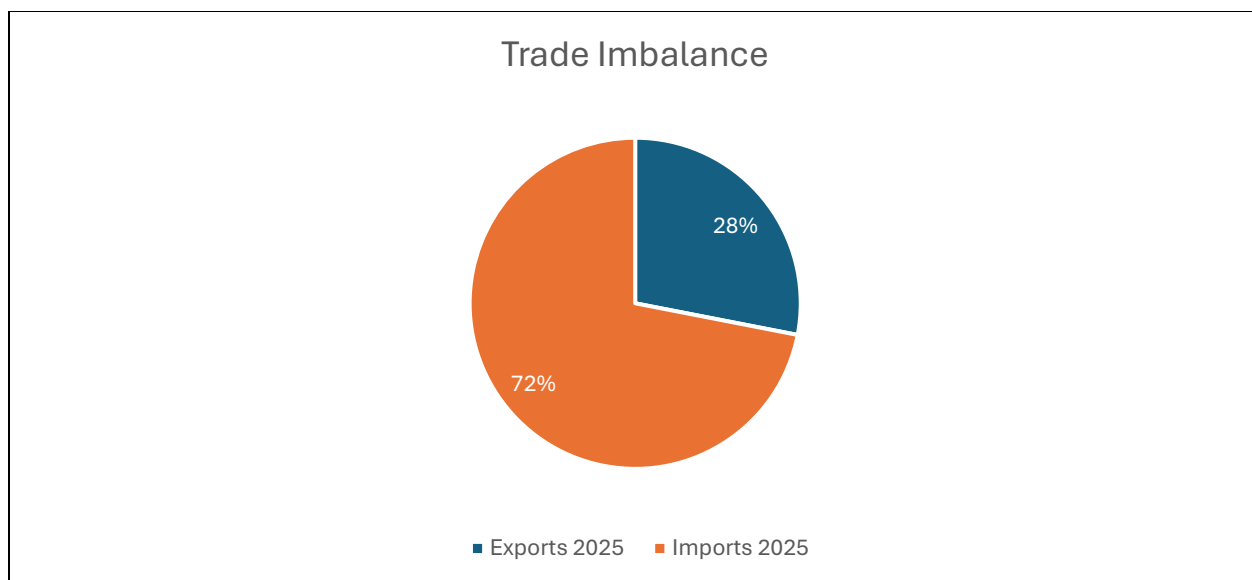


Chart 13: Share of Total Exports versus Total Imports in Albania's Foreign Trade Balance (Instat,2025)

Current Account Balance

The current account balance is the sum of a country's trade balance (exports minus imports of goods and services), net income from abroad, and net current transfers. It measures the flow of money in and out of a country and indicates whether a nation is a net lender or borrower. (Investopedia)

Albania's current account balance provides a broader assessment of the country's external position than merchandise trade alone, as it incorporates trade in goods and services, primary income, and cross-border transfers such as remittances. Despite Albania's persistent goods trade deficit, rapidly expanding tourism receipts and substantial remittance inflows have limited the overall external imbalance, with the current account deficit estimated at approximately 0.5% of GDP in 2025(World Bank). These foreign-currency earnings have increased the domestic supply of euros and contributed to the appreciation of the Lek, partially offsetting the pressure created by Albania's high import dependence. Nevertheless, a gradual widening of the current account deficit would represent an important risk if domestic demand and imports continue to grow faster than tourism, remittances and export earnings



Chart 13: Current Account Balance as % of GDP (World Bank)

Consumption

Consumption is the largest component of Albania's GDP and has been one of the main drivers of economic growth over the past decade. According to the World Bank, household final consumption expenditure accounts for approximately 70% of GDP, while total final consumption (households plus government) represents around 82% of GDP, highlighting the economy's strong dependence on domestic demand. Consumption growth has been supported by rising wages, record remittances, a booming tourism sector, improving labor market conditions and increased consumer confidence following the pandemic. (Chart 2)

The appreciation of the Albanian Lek has reinforced this trend by increasing households' purchasing power. As Albania imports a significant share of its food, fuel, vehicles, machinery and consumer goods, a stronger Lek reduces the domestic price of imported products and allowing households to purchase more goods and services with the same income. The IMF and the Bank of Albania have both highlighted that the appreciation of the Lek has contributed to the recent disinflation process, thereby supporting real household incomes and domestic consumption. At the same time, stronger consumption has become one of the principal drivers of GDP growth, alongside tourism and construction, partially

offsetting weaker external demand and pressures on export competitiveness resulting from the stronger exchange rate.

Employment & Wage Growth

Employment

Employment is an important link between GDP growth, consumption, and the appreciation of the Lek. Albania has experienced a marked improvement in labor market conditions over the past decade, with employment increasing steadily while unemployment has declined from around 17–18% in 2015 to approximately 8.7% in 2025 (IMF). At the same time, the employment-to-population ratio increased from 41.2% in 2015 to 47.6% in 2024, reflecting stronger labor demand across the economy. (World Bank)

Much of this improvement has been driven by the rapid expansion of tourism, construction, retail trade, transport, and other service industries, which have created employment opportunities and contributed to rising household incomes. According to INSTAT, Albania's labor force reached approximately 1.29 million people in 2024, while the World Bank notes that sustained economic growth has been accompanied by stronger labor market participation.

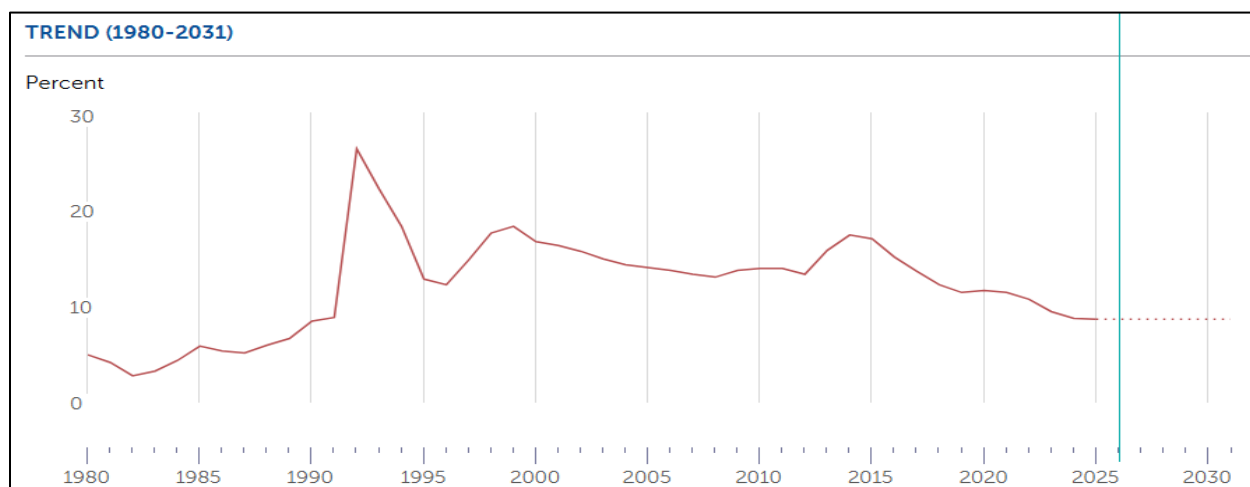


Chart 14: Unemployment in Albania (IMF)

The appreciation of the Albanian Lek has supported the labor market indirectly. Higher real purchasing power has supported demand for goods and services, encouraging businesses to expand employment, particularly in domestically oriented sectors such as retail, hospitality, and construction. However, the benefits have not been evenly distributed. Export-oriented industries especially textiles and footwear have faced increasing pressure from the stronger Lek, as euro-denominated export revenues translate into fewer Lek, reducing profit margins and potentially constraining employment growth in those sectors.

Wage Growth

Wage growth has become one of the defining characteristics of Albania’s post-pandemic economic expansion. According to INSTAT, the average gross monthly salary increased from 49,380 Lek in 2016 to 83,401 Lek in 2024, representing a cumulative increase of nearly 69%, with particularly strong growth since 2021. This acceleration has been driven by robust economic growth, labor shortages caused by emigration and demographic decline, and rising demand for workers in tourism, construction, and other service sectors. Consequently, the combination of rapid wage growth and a stronger domestic currency has supported private consumption, reinforcing its role as the largest contributor to Albania’s GDP growth.

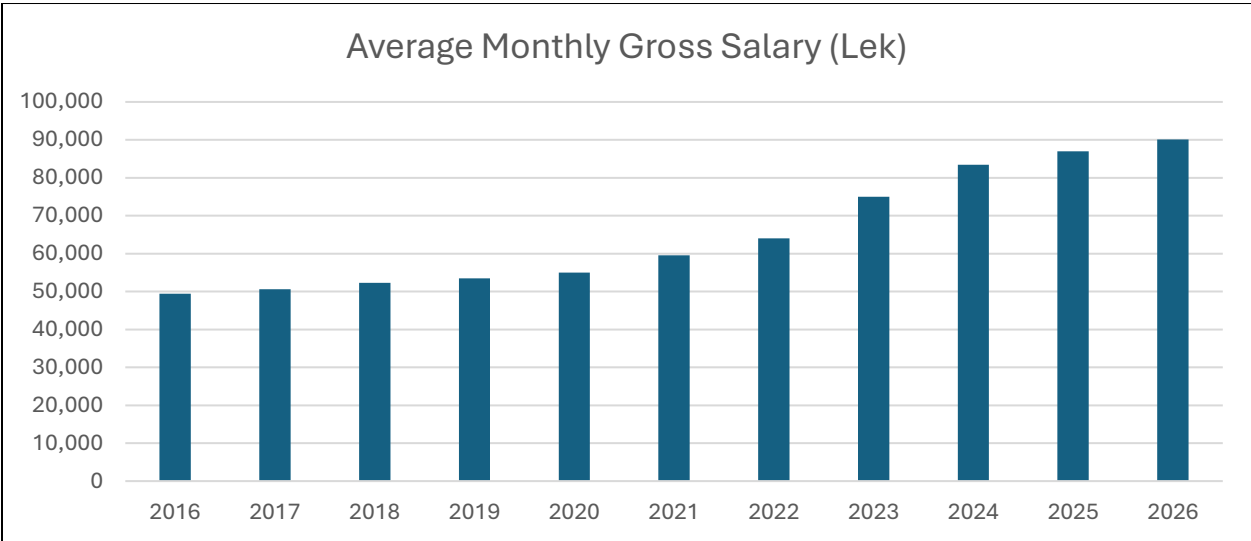


Chart 15: Average Monthly Gross Salary (Instat)

Year	Average Gross Salary (Lek)	Year-over-Year (YoY) Change (%)
2016	49,380	Baseline
2017	50,600	2.47%
2018	52,312	3.38%
2019	53,458	2.19%
2020	54,951	2.79%
2021	59,565	8.40%
2022	64,000	7.45%
2023	75,025	17.23%
2024	83,401	11.16%
2025	86,984	4.30%
2026	90,119	+9.61% (vs T1/2025)

Table 8: Average Monthly Gross Salary (Instat)

Deposits Composition

Deposits in the Albanian banking system have increased substantially over the past decade, reflecting rising household wealth, higher incomes, strong remittance inflows and sustained economic growth. According to the Bank of Albania, both Lek-denominated deposits and foreign currency deposits have grown steadily since 2015, indicating continued confidence in the banking sector. Foreign currency deposits, predominantly denominated in euros, have expanded significantly in absolute terms, largely reflecting the increase in tourism receipts, remittances and foreign direct investment, all of which have generated substantial euro inflows into the economy. Despite this strong growth in euro deposits, the composition of deposits has gradually shifted in favor of the domestic currency. The charts show that Lek-denominated deposits have recently overtaken foreign currency deposits, marking an important milestone in the Bank of Albania’s de-euroization strategy. This development suggests that households and businesses are increasingly willing to save in Lek, supported by higher interest rates on Lek deposits, improved confidence in the domestic currency and the sustained appreciation of the Lek against the euro. At the same time, the share of euro deposits within total foreign currency deposits has continued to rise, confirming that the euro remains by far the dominant foreign currency used for savings in Albania. Together, these trends indicate that while euro savings remain an important feature of the financial system, the banking sector is becoming progressively more Lek-oriented, strengthening the transmission of monetary policy and reducing the economy’s structural exposure to exchange-rate risk. (Bank of Albania)

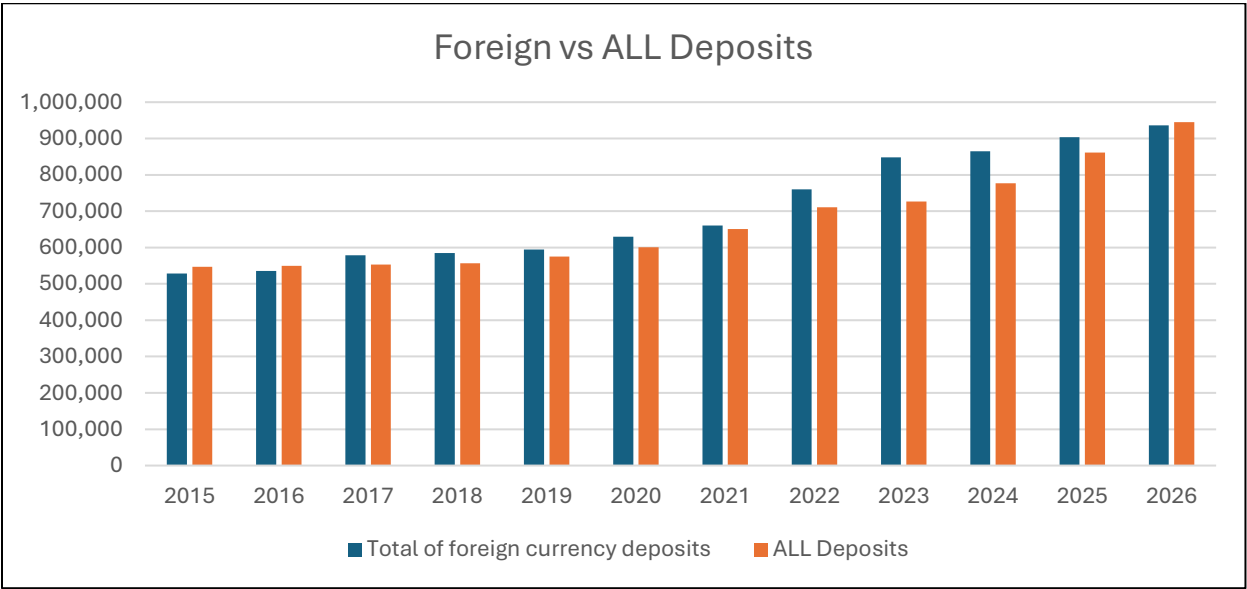


Chart 16: Foreign vs Lek Deposits (Bank of Albania)

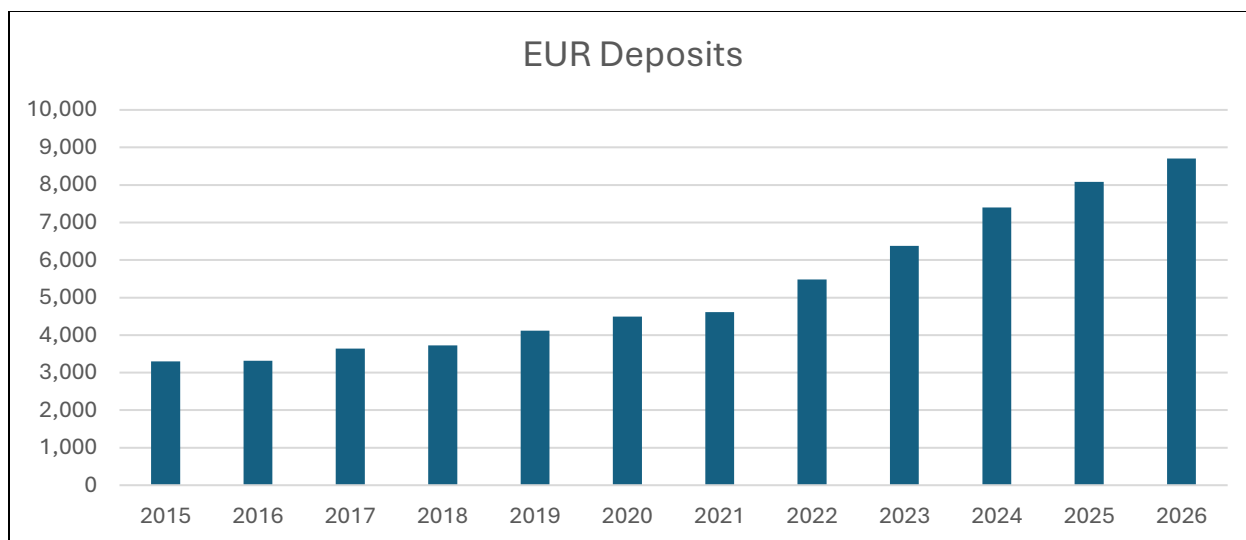


Chart 17: EUR Deposits (Bank of Albania)

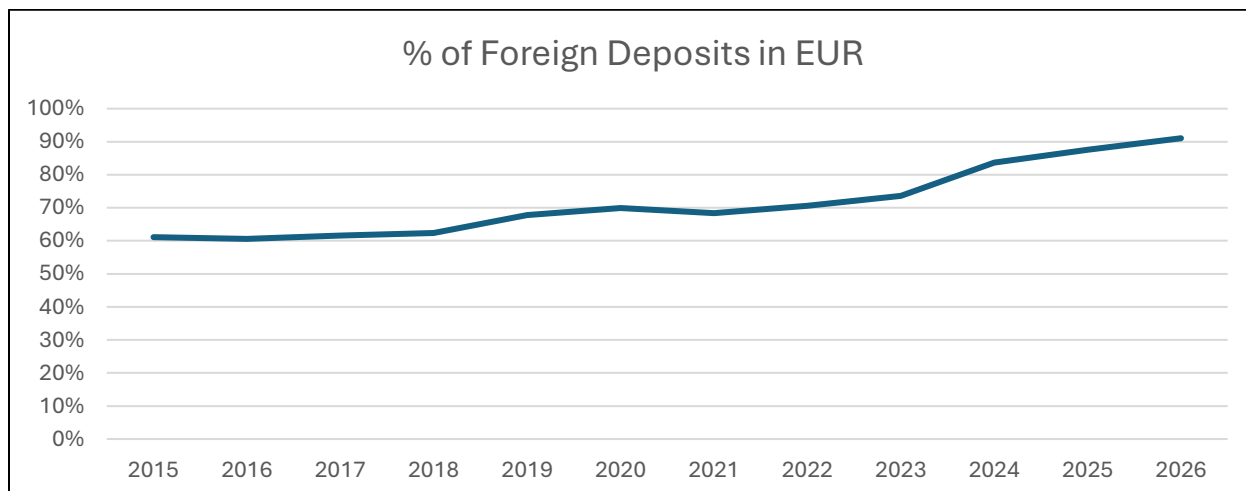


Chart 18: Percentage of Foreign Deposits in EUR (Bank of Albania)

Liquidity and Money Supply

Liquidity conditions in Albania have remained broadly accommodative over the past decade, supported by sustained economic growth, rising bank deposits, and significant inflows of foreign currency from tourism, remittances, and foreign direct investment. According to the Bank of Albania, the country's broad money supply M3² has increased steadily, reflecting an expansion of financial assets and banking sector liquidity. At the same time, narrower monetary aggregates such as M1³ and M2⁴ have also grown, indicating stronger transaction

² M3: Includes all currency in circulation, demand deposits, savings deposits, and less liquid assets

³ M1: Money outside depository corporations plus the transferable deposits and non-term deposits

⁴ M2: Total money supply in an economy, including physical cash, checking/savings deposits, and highly liquid assets

activity and increasing financial intermediation. Overall, these trends suggest that Albania has not experienced a shortage of liquidity at the macroeconomic level; rather, the banking system has accumulated ample financial resources alongside a growing deposit base. (Bank of Albania)

The appreciation of the Albanian Lek has interacted closely with these monetary developments. Record inflows of euros generated by tourism, remittances and foreign direct investment have expanded the domestic banking system's liquidity while increasing the supply of foreign currency in the foreign exchange market. Rather than responding through large-scale monetary expansion, the Bank of Albania has largely sterilized excess liquidity and maintained its focus on price stability, allowing the exchange rate to adjust in line with market fundamentals. Although aggregate liquidity has continued to rise, anecdotal evidence from businesses suggests that cash-flow constraints and delayed payments remain prevalent, indicating that liquidity challenges are likely related to the distribution and circulation of money, payment discipline, and the size of the informal economy, rather than an insufficient money supply. This distinction is important because it implies that monetary expansion alone would be unlikely to resolve these structural liquidity frictions.

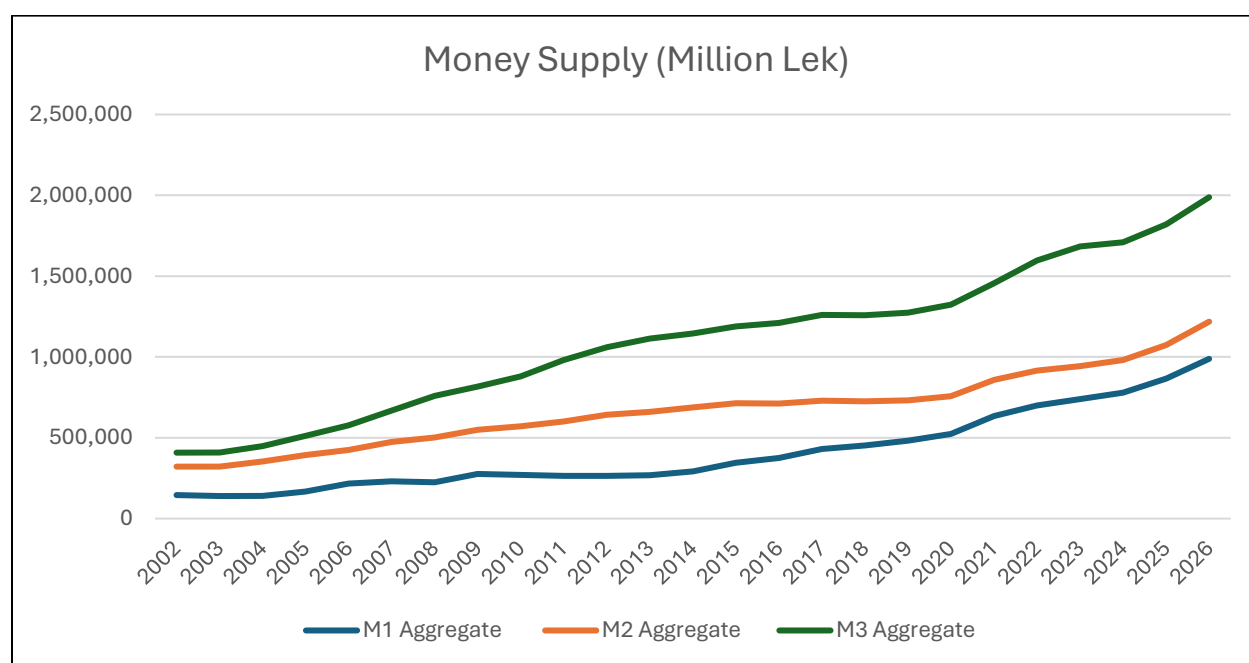


Chart 19: Money Supply in Albania (Bank of Albania)

Velocity of Money

The velocity of money is the average number of times a single unit of currency changes hands to buy goods and services within a given time period. It essentially measures the speed and frequency at which money circulates throughout the economy. Economists

determine this speed by dividing a nation's Gross Domestic Product (GDP) by its money supply. (Investopedia) For this analysis, M3 will be used for the calculations. In the case of Albania, an increasing velocity suggests a booming economy and suggests no structural liquidity shortages on Macro level.

Year	GDP in Million LEK	M3 (Million LEK)	Velocity
2015	14,347	14,440	0.993531
2016	14,723	14,704	1.001267
2017	17,925	15,319	1.170114
2018	16,360	15,304	1.069017
2019	16,785	15,497	1.083152
2020	16,583	16,097	1.030189
2021	18,685	17,708	1.055188
2022	21,631	19,414	1.114172
2023	23,134	20,456	1.130919
2024	25,481	20,771	1.226736
2025 (IMF Forecast)	28,312	22,116	1.280124

Table 9: Velocity of Money (Bank of Albania, IMF)

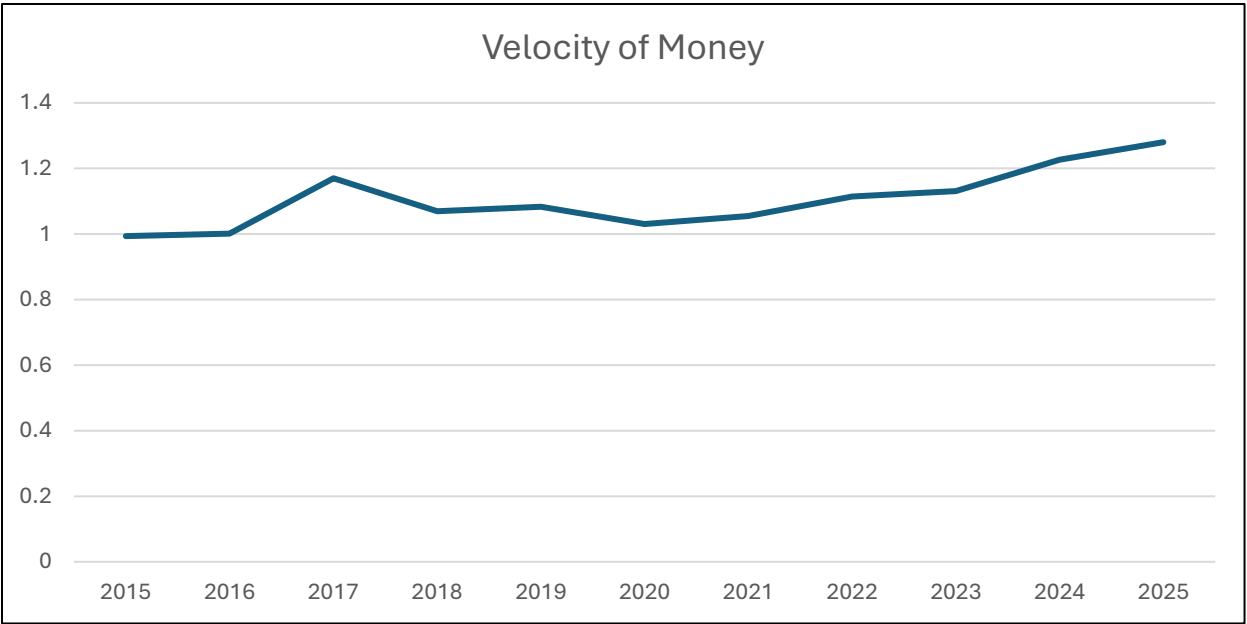


Chart 20: Velocity of Money (Bank of Albania, IMF)

Real Estate

The appreciation of the Lek has produced mixed effects on the real estate market. On one hand, a stronger domestic currency has reduced the cost of imported construction materials, machinery and equipment, lowering input costs for developers. On the other hand, the appreciation has reduced the purchasing power of foreign buyers holding euros,

as each euro now converts into fewer Lek, making Albanian properties relatively more expensive when priced in local currency. However, despite this reduced purchasing power, demand from foreign buyers has remained strong. That suggests that the attractiveness of Albania as an investment destination has outweighed the exchange-rate effect. Together with rising wages and declining unemployment, this has supported housing demand. However, residential property prices have increased faster than household incomes in many regions, leading to a gradual deterioration in affordability despite stronger macroeconomic fundamentals. This creates an important distinction: People became richer in nominal and real income terms, but housing became even more expensive.

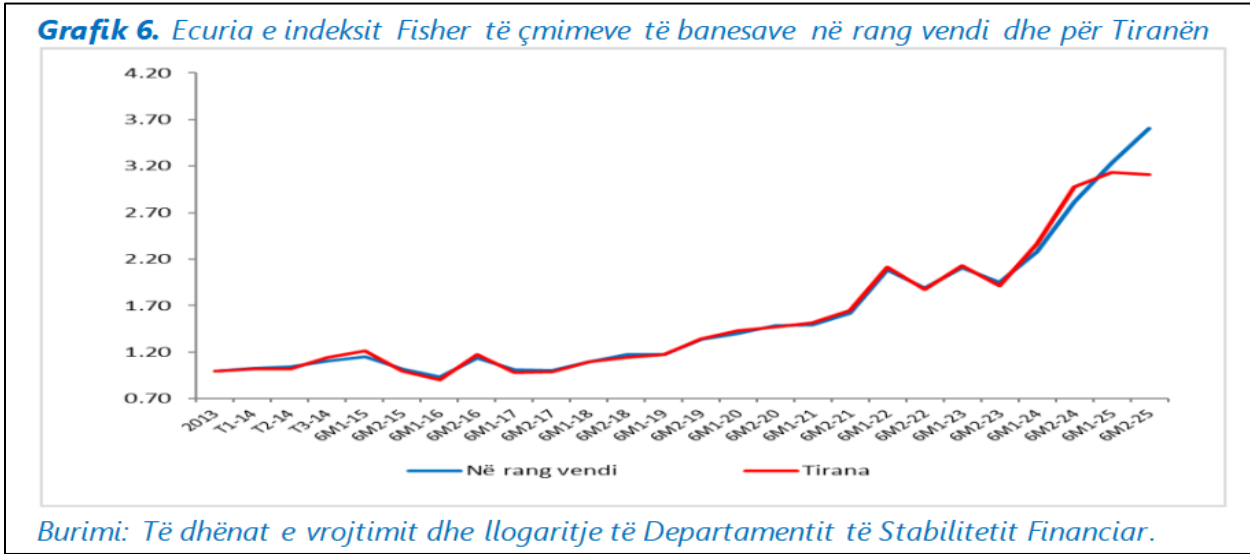


Chart 21: Fisher Index of House price nationwide and in Tirana (Bank of Albania)

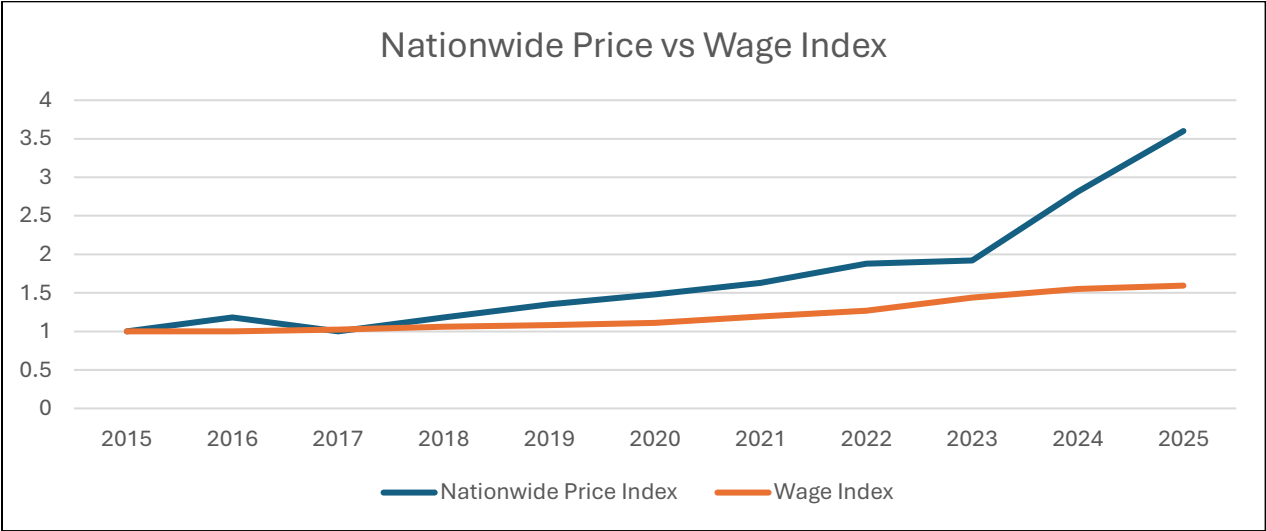


Chart 22: Nationwide House price Fischer vs Wage Index (Bank of Albania, Instat)

External and National debt

Public debt is an important indicator of a country's fiscal sustainability and its ability to withstand economic shocks. Following a sharp increase during the COVID-19 pandemic, Albania's public debt has declined significantly, falling from approximately 76% of GDP in 2020 to an estimated 53% at the end of 2025, according to the IMF. This improvement reflects a combination of strong nominal GDP growth, prudent fiscal consolidation, rising tax revenues, and exceptional performance in the tourism sector, which has supported both economic activity and government revenues. The appreciation of the Albanian Lek has also contributed to this favorable trend. As a portion of Albania's public debt is denominated in primarily in EUR, a stronger Lek reduces the domestic currency value of external debt and lowers debt servicing costs when measured in Lek. While this exchange-rate valuation effect has reinforced the decline in the debt-to-GDP ratio, the IMF emphasizes that the primary drivers of improved debt sustainability have been sustained economic growth and prudent fiscal management rather than reduced borrowing alone. Overall, Albania's declining public debt ratio represents a significant improvement in macroeconomic stability and strengthens the country's resilience to future external shocks.

Year	Government(Public) Gross Debt as % of GDP)
2008	54.7
2009	59.7
2010	57.7
2011	59.4
2012	62.1
2013	70.4
2014	72
2015	73.7
2016	73.3
2017	71.9
2018	69.5
2019	66.6
2020	75.4
2021	74.8
2022	64.7
2023	58
2024	54.5
2025	52.6
2026 (IMF Projection)	51.5
2027 (IMF Projection)	50.7
2028 (IMF Projection)	49.9

Table 10: Government Gross Debt as % of GDP (IMF)

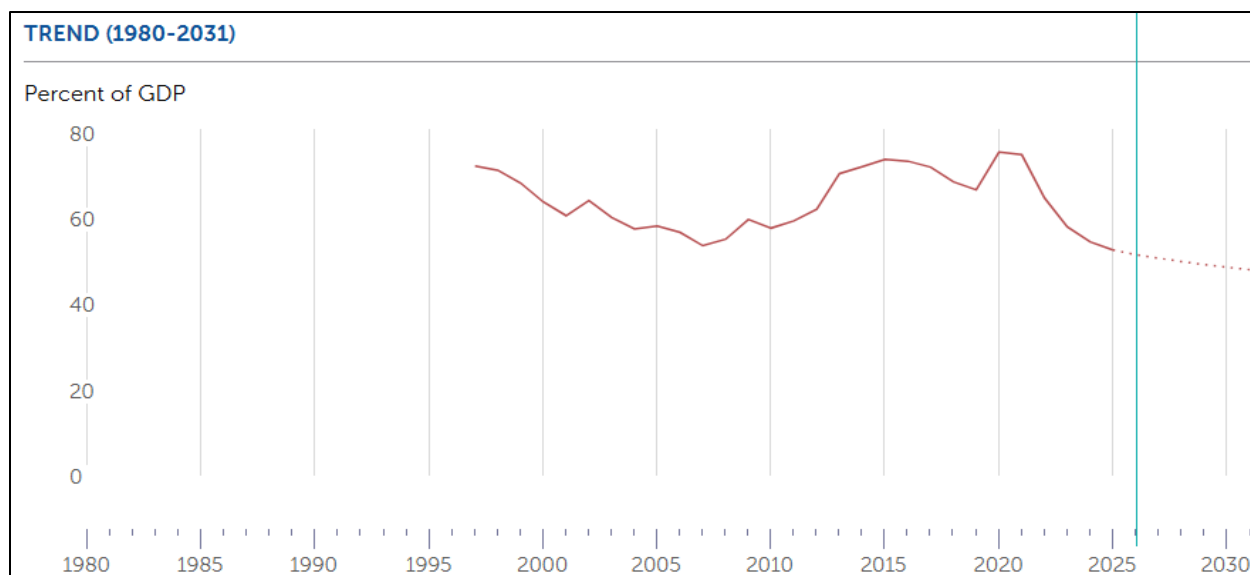


Chart 23: Government gross debt as % of GDP (IMF)

Year	Gross External Debt (Million EUR) ⁵
2009	3,423
2010	3,660
2011	4,167
2012	5,064
2013	5,790
2014	6,493
2015	7,239
2016	7,731
2017	7,974
2018	7,931
2019	8,421
2020	8,204
2021	8,839
2022	9,753
2023	9,668
2024	10,292
2025	10,704
2026	10,344

Table 11: Gross External Debt Position (Bank of Albania)

⁵ Gross external debt is the total outstanding debt that a country's government, corporations, and citizens owe to foreign creditors

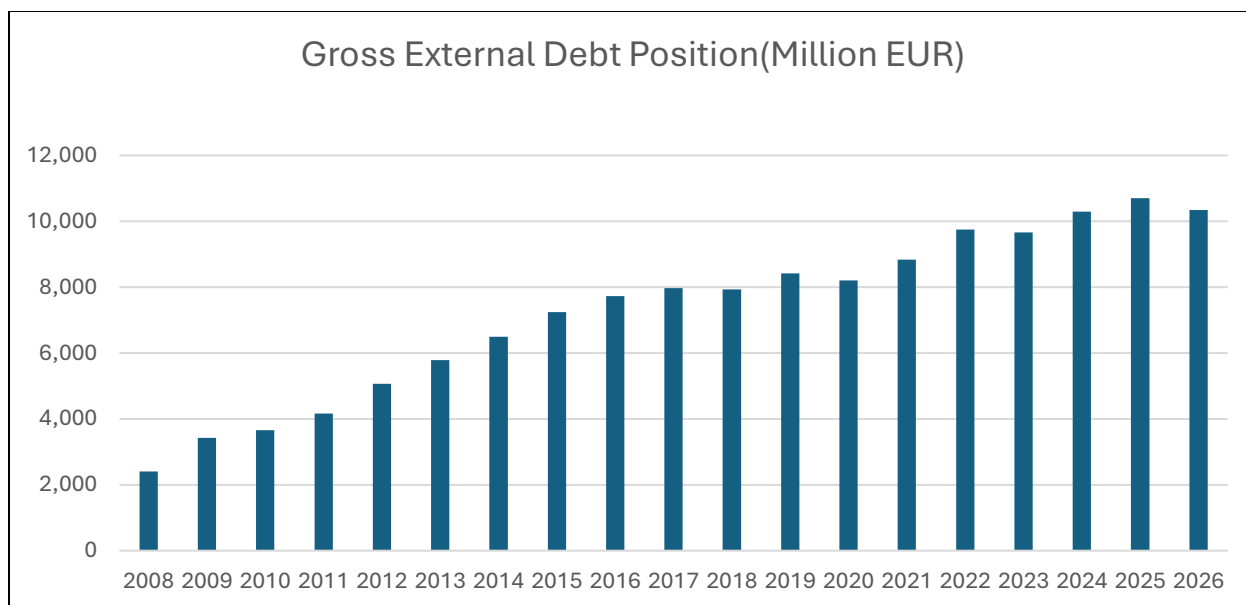


Chart 24: Gross External Debt position (Bank of Albania)

Albania's public debt profile has strengthened considerably in recent years, reflecting improvements in both fiscal sustainability and sovereign creditworthiness. As the public debt-to-GDP ratio declined following the pandemic, international rating agencies responded with a gradual improvement in the country's sovereign credit profile. Standard & Poor's upgraded Albania from B+ (Stable) to BB (Stable) in 2024–2025, while Moody's upgraded the sovereign rating from B1 to Ba3 (Stable) in 2024, indicating increased confidence in Albania's macroeconomic fundamentals and debt sustainability. Although the average cost of borrowing has increased since 2021 due to higher global interest rates, persistent inflation, and heightened geopolitical uncertainty, Albania has continued to benefit from relatively low financing costs on its external debt. Borrowing from multilateral institutions and international capital markets has remained cheaper than domestic financing, reflecting favorable interest rate spreads and concessional lending conditions offered by international financial institutions. At the same time, the government's debt strategy has maintained a balanced financing structure between domestic securities, multilateral creditors, bilateral loans and Eurobonds, reducing refinancing risk while supporting long-term fiscal sustainability. Together, the decline in public debt, improvements in sovereign credit ratings and prudent debt management demonstrate Albania's enhanced macroeconomic resilience and stronger access to international financial markets.(Ministry of Finance)

	2020	2021	2022	2023	2024	2025
Moody's	B1 (Stable)	B1 (Stable)	B1 (Stable)	B1 (Stable)	Ba3 (Stable)	Ba3 (Stable)
Standard & Poors	B+ (Stable)	B+ (Stable)	B+ (Stable)	B+ (Positive)	BB- (Stable)	BB (Stable)

Source: *Moody's dhe Standard & Poors*

Table 12: Albania's Credit rating (Moody's and Standard & Poors)

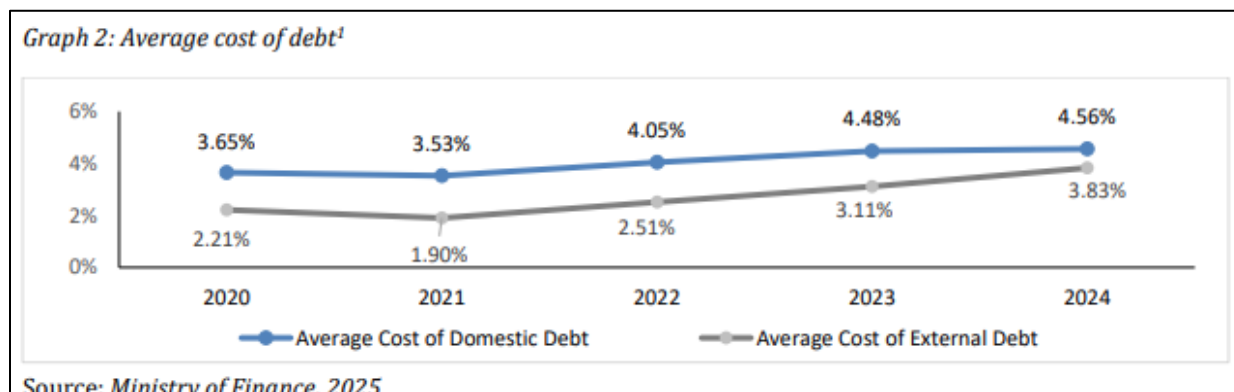


Chart 25: Average cost of debt(Ministry of Finance)

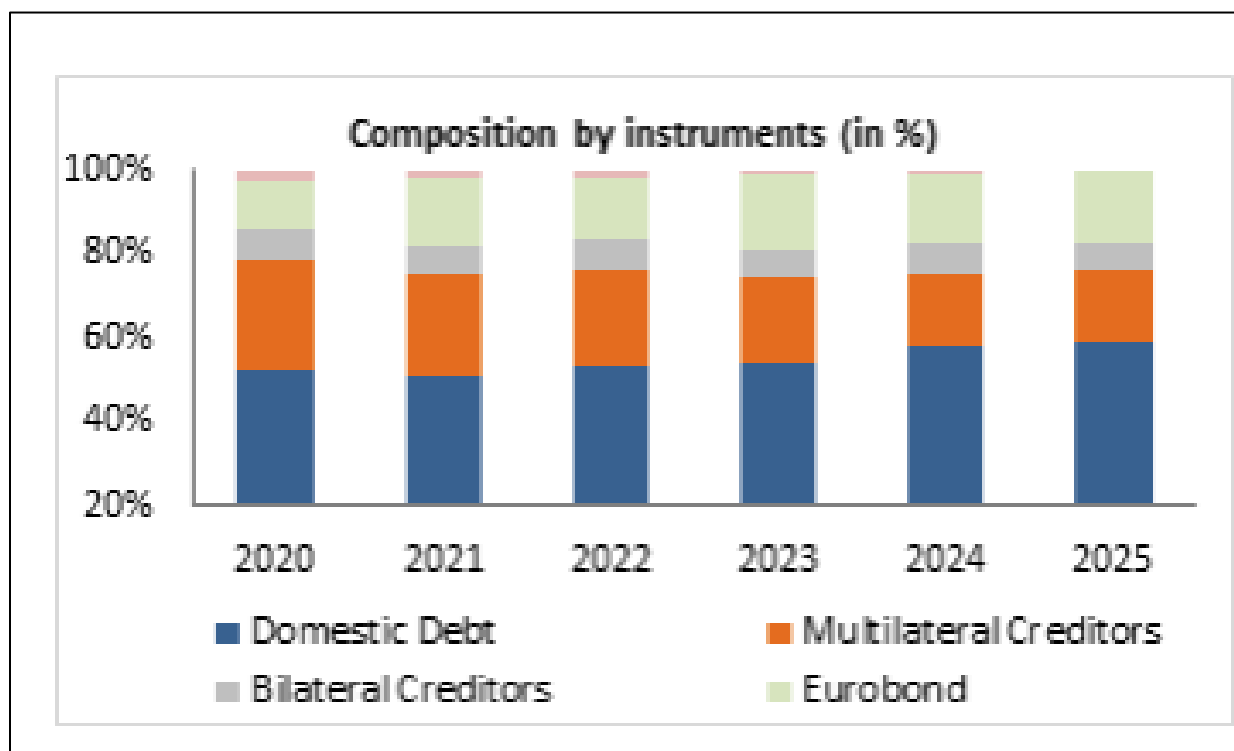


Chart 26: Composition of debt by instruments(Ministry of Finance)

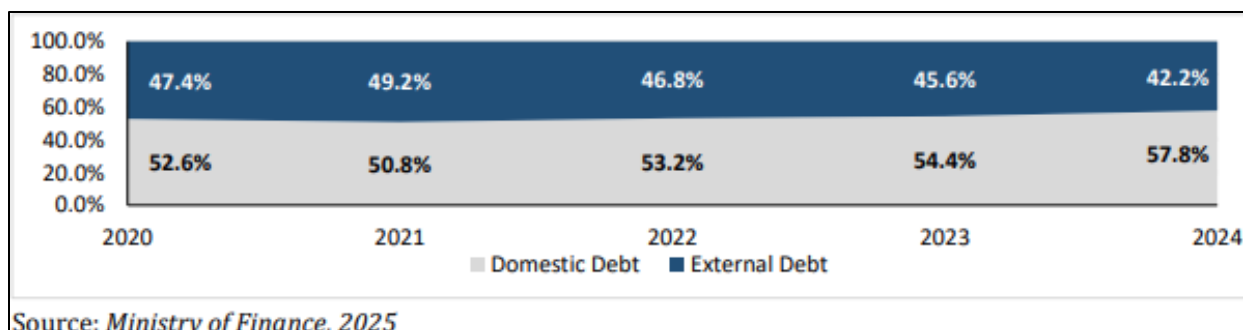


Chart 27: Debt allocation between domestic & external (Ministry of Finance)

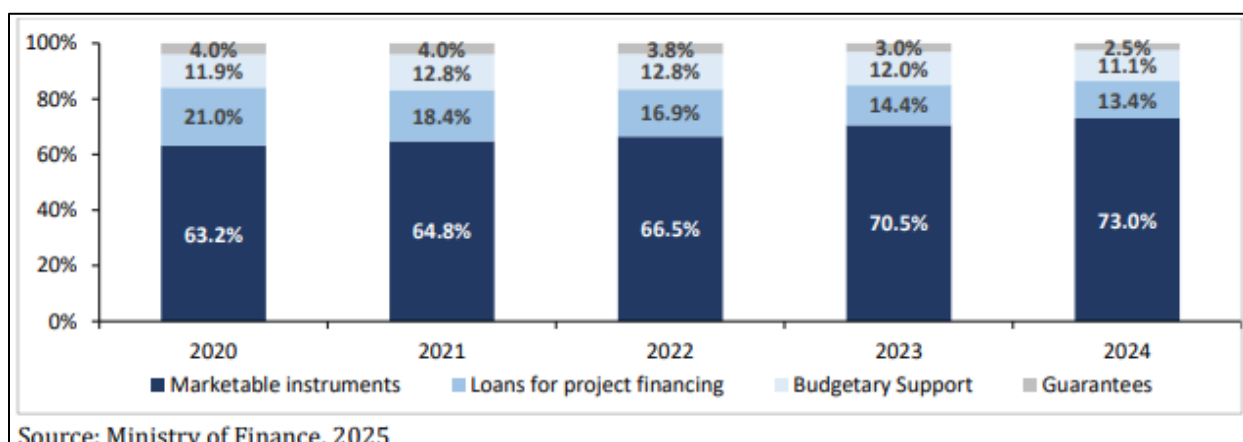


Chart 28: Instrument Composition of Debt Portfolio (Ministry of Finance)

De-euroization

One of the less visible but important structural developments in Albania has been the Bank of Albania's de-euroization strategy, introduced in 2017 and strengthened in subsequent years. The objective of these policies has been to reduce the economy's dependence on the euro and increase the use of the Albanian Lek in lending, deposits, pricing, and domestic transactions, thereby improving the effectiveness of monetary policy and reducing vulnerabilities arising from exchange-rate fluctuations. The strategy was implemented jointly by the Bank of Albania, the Financial Supervisory Authority and the Ministry of Finance through a combination of monetary, prudential and regulatory measures rather than direct intervention in the foreign exchange market.

Policy	Objective	Expected Impact
Higher reserve requirements on foreign currency liabilities	Discourage excessive euro funding	Reduce euroization of bank balance sheets
Higher capital and liquidity requirements for foreign currency lending	Internalize exchange-rate risk	Encourage lending in Lek

Promotion of Lek-denominated government securities	Increase demand for Lek assets	Deepen domestic capital markets
Encouraging pricing and contracts in Lek	Increase use of the domestic currency	Strengthen monetary policy transmission
Public awareness and regulatory coordination	Reduce financial euroization over time	Improve financial stability

Table 13: De-euroization policies (Bank of Albania)

One of the most important de-euroization measures was the reduction in the relative attractiveness of euro-denominated deposits. During a prolonged period of very low euro interest rates, households and businesses received little or no return on euro savings, while Lek deposits generally offered higher yields. Combined with higher regulatory costs for banks holding foreign-currency liabilities, these policies encouraged greater use of the domestic currency. When record tourism receipts, remittances and foreign direct investment subsequently increased the supply of euros in the economy, the stronger structural demand for the Lek reinforced the appreciation of the domestic currency and improved the transmission of monetary policy. (Bank of Albania)

These policies have also coincided with a gradual decline in financial euroization. The share of Lek-denominated loans and deposits has increased over time, while households and businesses have become more willing to borrow and save in the domestic currency. This has enhanced the Bank of Albania's ability to influence borrowing costs through changes in the policy interest rate, making monetary policy more effective. Although the appreciation of the Albanian Lek since 2021 has been driven primarily by record tourism revenues, rising remittances, foreign direct investment and strong economic growth, the de-euroization strategy has likely reinforced this trend. By increasing demand for Lek-denominated financial assets and reducing structural demand for euros within the domestic financial system, the policies have supported the use of the national currency and strengthened confidence in it. Importantly, the Bank of Albania has consistently emphasized that exchange-rate movements should be determined by market fundamentals rather than administrative measures, meaning that de-euroization has acted as a supportive structural policy rather than the principal driver of the Lek's appreciation. (Bank of Albania)

Wealth Concentration

According to the Bank of Albania Household Wealth Survey, the average family net wealth is roughly 8.5 million ALL, but significant disparities exist. The median wealth stands much lower at 5.7 million ALL. Inequality is evident, with the top 20% of wealthiest households holding about 37% of total household wealth. (Bank of Albania, 2022) The primary residence is the most crucial asset for Albanian families, serving as the primary driver of the recorded average and median gap.

The Gini coefficient is a standard macroeconomic metric used to measure income inequality within a country, where a score of 0 represents perfect equality and 100 represents absolute inequality.(Investopedia) As shown in the World Bank chart, Albania's Gini index experienced a significant decline from 34.6 in 2014 to 29.4 by 2020⁶, signaling a narrowing wealth gap and an expanding middle class. This structural reduction in economic inequality interacts closely with Albania's currency dynamics; the sustained appreciation of the Albanian Lek has boosted the domestic purchasing power of lower- and middle-income households by lowering the cost of imported essential goods and cushioning against global inflation. Furthermore, because a large portion of Albania's less affluent population relies on stable foreign remittances typically sent in Euros, a stronger Lek compresses domestic wealth disparities when those inflows are converted, smoothing out regional income inequalities between rural communities and major urban centers.

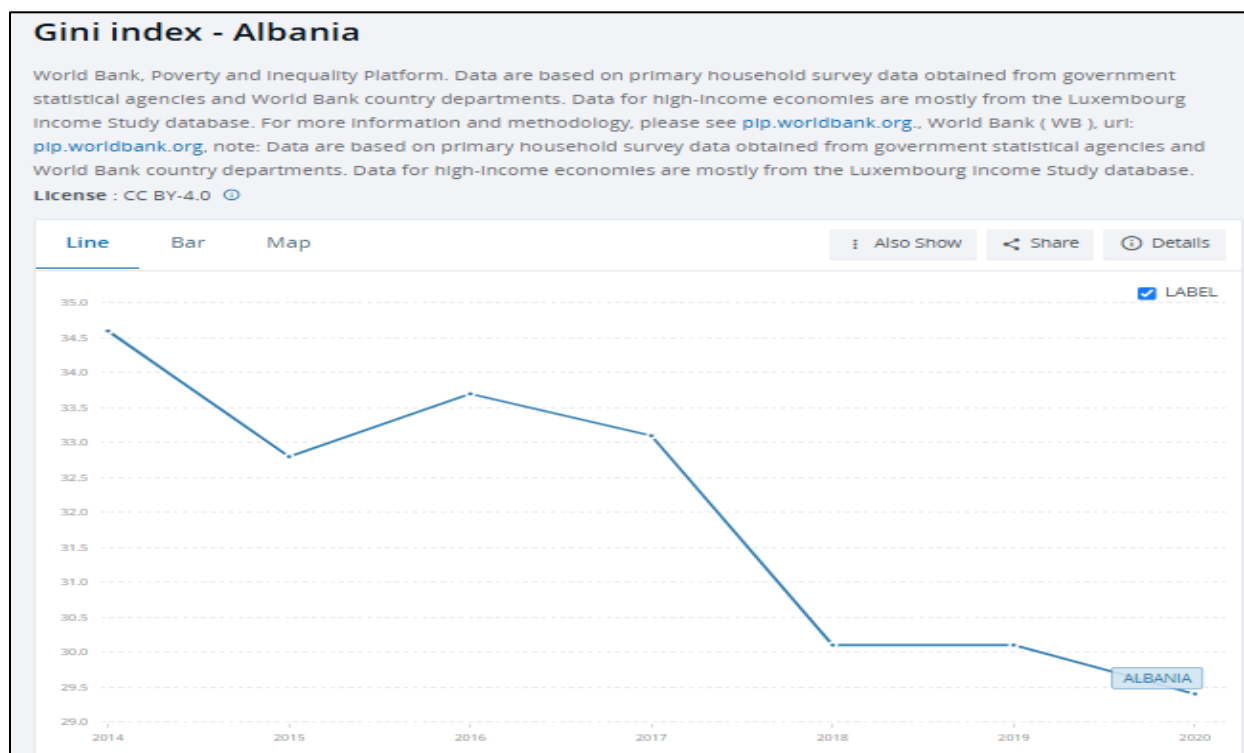


Chart 29: Gini coefficient(World Bank)

Informal Economy

The informal economy remains one of the defining structural characteristics of the Albanian economy and has important implications for the residential property market. The International Monetary Fund's latest quantitative estimate places the informal economy at 27.2% of GDP (2019), while the World Bank continues to describe it as accounting for almost

⁶ Missing data after 2020

one-third of GDP, indicating that informality remains high despite ongoing fiscal and institutional reforms.

The appreciation of the Albanian Lek has interacted with the informal economy in several ways. First, large inflows of foreign currency generated by tourism, remittances and foreign investment have increased the volume of euros circulating within the economy, including in sectors where cash transactions remain prevalent. Second, the Bank of Albania's de-euroization strategy has encouraged greater use of the Lek in deposits, lending and domestic transactions, gradually increasing confidence in the national currency. Finally, a stronger Lek and lower inflation have supported the formal banking system by making Lek-denominated savings more attractive. Nevertheless, the persistence of cash-based informal transactions reduces the effectiveness of monetary policy, limits the transmission of banking-sector liquidity to the wider economy and complicates the measurement of economic activity. Consequently, while the appreciation of the Lek has strengthened macroeconomic stability, further reductions in informality remain essential for ensuring that monetary policy is transmitted more efficiently throughout the economy and that the benefits of economic growth are more broadly distributed.

Key Risks

Although the appreciation of the Albanian Lek reflects stronger macroeconomic fundamentals, several structural vulnerabilities could alter its trajectory over the coming years. The sustainability of the exchange rate will depend not only on continued foreign currency inflows but also on Albania's ability to diversify its economy, improve productivity and reduce structural imbalances.

Tourism Dependence

Tourism has become one of the primary drivers of economic growth and foreign currency inflows. While this has strengthened the Lek and supported GDP growth, excessive dependence on a single sector increases the economy's vulnerability to geopolitical events, climate-related shocks, pandemics and changes in international travel demand.

Construction and Real Estate

Dependence on Construction and real estate have become increasingly important contributors to economic activity and employment. A slowdown in property demand or a correction in residential prices could weaken investment, reduce employment and negatively affect domestic consumption and financial stability.

Export Competitiveness

The appreciation of the Lek has reduced imported inflation but has simultaneously weakened the international competitiveness of Albanian exporters. Continued currency

appreciation without corresponding productivity gains may place additional pressure on export-oriented industries, particularly textiles, footwear and manufacturing.

Demographic Challenges

Population ageing, declining birth rates and continued emigration are reducing the available labor force. Labor shortages are already contributing to rising wages and could constrain long-term economic growth if productivity improvements fail to offset the decline in labor supply.

Housing Affordability

Although higher wages and lower inflation have increased household purchasing power, residential property prices have increased considerably faster than incomes in many regions. Persistently declining affordability may reduce home ownership among younger households and contribute to greater wealth inequality.

Informal Economy

Despite significant progress in macroeconomic management, the informal economy remains substantial. High levels of cash transactions and undeclared economic activity continue to reduce fiscal revenues, weaken monetary policy transmission and complicate the measurement of economic performance.

Scenario Analysis

The following scenarios represent the author's assessment based on the preceding analysis and publicly available data from Bank of Albania, Instat, the IMF and the World Bank.

Base Case (Highest Probability)

The Albanian economy continues to expand at a sustainable pace, supported by tourism, remittances and foreign direct investment. GDP growth remains between 3.5% and 4.0%, inflation converges around the Bank of Albania's 3% target, and the Lek remains relatively strong, with only modest appreciation as foreign currency inflows gradually normalize. Continued de-euroization and prudent fiscal policy further strengthen macroeconomic stability, although structural dependence on tourism and construction persists.

Optimistic Scenario

Accelerated progress towards European Union accession, higher productivity growth and successful diversification of the economy attract larger volumes of foreign direct investment into manufacturing, technology and higher value-added industries. Tourism continues to expand while export competitiveness improves through productivity gains rather than

exchange-rate depreciation. Under this scenario, Albania experiences stronger long-term growth, continued improvements in sovereign creditworthiness and a more balanced appreciation of the Lek supported by broader economic fundamentals.

Pessimistic Scenario

A slowdown in European economic activity, geopolitical uncertainty or weaker tourism demand significantly reduces foreign currency inflows. Lower remittances and foreign investment weaken demand for the Lek, while slower economic growth places pressure on public finances and the residential property market. Export competitiveness improves through a weaker exchange rate; however, inflation increases due to more expensive imports, reducing household purchasing power and slowing domestic consumption.

Overall conclusion

This report set out to determine whether the appreciation of the Albanian Lek represents a temporary market phenomenon or the consequence of a broader structural transformation of the Albanian economy. The evidence presented throughout this study strongly suggests that the appreciation of the Lek is primarily the result of structural economic developments rather than short-term market distortions. This is best understood as the result of two complementary forces:

1. Fundamental market forces (the dominant factor):

- Record tourism receipts.
- Higher remittances.
- Strong FDI inflows.
- Robust GDP growth
- Macroeconomic stability.

2. Structural policy support:

- De-euroization measures increased the use and demand for the Lek.
- Improved monetary policy transmission.
- Reduced exchange-rate vulnerabilities.
- Reinforced confidence in the domestic currency.

Nevertheless, the appreciation of the Lek has also highlighted several structural challenges:

- Reduced competitiveness in Export-oriented industries
- Residential property prices have increased faster than household incomes
- Concentrated economic growth in tourism, construction and real estate.

Although official macroeconomic indicators remain strong, evidence suggests that the benefits of economic expansion have not been distributed evenly across all sectors of the economy, while informality, demographic pressures and housing affordability continue to pose important long-term challenges. Overall, the appreciation of the Lek should therefore be viewed not as an isolated exchange-rate event, but as a reflection of Albania's evolving economic structure. The country's long-term prosperity will depend on its ability to transform current macroeconomic strength into sustainable productivity growth, greater export diversification and broader improvements in living standards. Maintaining macroeconomic stability while reducing structural vulnerabilities will be essential to ensuring that the appreciation of the national currency remains both sustainable and beneficial for future generations.

The appreciation of the Albanian Lek should therefore be interpreted not as the cause of Albania's economic transformation, but as a reflection of stronger macroeconomic fundamentals that must now be supported by higher productivity, greater economic diversification and more inclusive long-term growth.

Limitations

This study should be interpreted in light of several limitations. The analysis relies primarily on publicly available data published by the Bank of Albania, INSTAT, the IMF and the World Bank. Although these institutions provide the most reliable macroeconomic statistics available, several indicators such as the informal economy and wealth distribution are subject to estimation uncertainty and periodic revisions.

Second, the report adopts a descriptive macroeconomic approach and therefore identifies relationships between variables rather than establishing causal effects. While the appreciation of the Albanian Lek coincided with developments in tourism, remittances, foreign direct investment and inflation, these relationships should not be interpreted as definitive evidence of causality.

Several structural aspects of the Albanian economy remain difficult to quantify. The size of the informal economy, cash-based transactions, undeclared income and wealth concentration are inherently challenging to measure and may not be fully reflected in official statistics. Finally, the report focuses primarily on macroeconomic developments between 2015 and 2026. Unexpected geopolitical events, changes in global financial conditions, climate-related shocks or significant policy changes could materially alter Albania's economic trajectory and exchange-rate dynamics beyond the scope of this analysis.

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